Furthermore, in this interconnected world, a borrower's inability to hide adverse information such as default when tagged by a unique ID constitutes a big incentive to repay.

Importantly, banks no longer have a monopoly over all credit-related data; some IT companies may do a better job in pulling together even the bank's data, in addition to trawling for other available data, and analysing it all to make better lending and monitoring decisions. Loan applications and decisions are now being made entirely online, without a borrower having to step into a branch. Alliances between IT companies and banks are likely to increase significantly.

The bottom line is that competition is increasing, and ways of delivering financial services are changing tremendously. Banks have to discover strategies to use their traditional, although eroding, advantages such as convenience, information, and trust to remain on the competitive frontier. Competition and innovation constitute a particularly volatile mix in terms of risk challenging banks' traditional risk management capabilities. They are also a challenge to the regulator, who wants the best for the customer (and therefore wants to encourage competition and experimentation), while maintaining systemic stability (and thus wants to understand risks before they get too large or widespread).

THE AUTHORITIES' DILEMMA

Before turning to how the banks should respond to these competitive and technological forces, let us ask how these forces affect the regulatory compact. Ideally, the authorities should ensure their actions are institution, ownership, and technology neutral so as to ensure that the most efficient customer-oriented solutions emerge through competition. However, if the authorities deliberately skew the playing